DESIGN CARGO LOGISTICS (PVT)
and
JULIOUS BVOCHORA
versus
LA CARGO LOGISTICS (PRIVATE) LIMITED
and
COLLIN MUTEVHANI

HIGH COURT OF ZIMBABWE
MAWADZE DJP & WAMAMBO J
HARARE; 26 February & 19 March 2026

Civil appeals

P. Muzvuzvu for the Appellants
I Gonese for the 1st Respondent
No appearance or the 2nd Respondent

BACKGROUND

The first respondent issued summons against the appellants in the court *a quo* for:

1. A payment of the sum of USD 5,000.00, which was paid to the first defendant outside the scope of the agreement and constitutes unjust enrichment.

2. ZAR 380,000, which the plaintiff was compelled to pay a third party as a direct consequence of the defendants' breach of contract.

3. Costs of suit on a legal practitioner scale.

The first respondent was the plaintiff in the court a quo. The first and second appellants were the first and second defendants in the court a quo, respectively. The second respondent was the third defendant.

The first respondent submitted that in April 2022, he engaged the appellants to transport a Ministry of Defence consignment consisting of three excavators from Durban at a total cost of USD 45,000.00. He stated that despite paying the full amount upfront via FNB transfer, the third defendant who was only introduced after payment extorted an additional USD 5,000.00 for the first delivery under the guise of increased distance, and subsequently failed to deliver the third excavator due to alleged issues with a subcontractor's deceased estate. The first respondent further submitted that his own investigations revealed that the defendants had failed to pay the actual third-party transporter, leading him to pay a further ZAR 380,000.00 to the said third party to secure the release of the final machine and mitigate the risk of the Ministry of Defence alleging that the equipment had been stolen.

The appellants submitted that they acted merely as mediators who referred the first respondent and the third defendant to each other. The appellants maintained that they lacked the capacity to handle the consignment themselves and denied any indebtedness, specifically regarding the USD 5,000.00, on the basis that the communication and transaction were strictly between the first respondent and the third defendant. Under cross-examination, the appellants characterized their extensive email correspondence with the first respondent as mere "discussions" rather than a formal agreement, claiming that instructions to deposit funds into a specific bank account were made solely on behalf of another party. Furthermore, the appellants submitted that the reference to the third defendant as "our guy" was intended to mean a person known to both the appellants and the first respondent.

The court *a quo* found that the appellants were privy to the contract, ruling that because they were at the forefront of all initial negotiations regarding the nature, cost, and destination of the transport, the first respondent reasonably presumed he was contracting solely with them. Relying on the principle in *Blew* v *Snoxwell 1931 TPD*, the court held that an ambiguous understanding of the third defendant's role could not prejudice the first respondent, as the appellants could not unilaterally force him into a contractual relationship with a third party. Furthermore, the court applied the "external manifestations" test from *Total South Africa (Pty) Limited* v *Bekker NO 1992 (1) SA 617*, finding that the appellants' acts and their failure to disclaim liability when the first respondent raised grievances constituted a meeting of minds. Ultimately, the court concluded that the appellants' inaction and the subsequent withholding of

the machines due to non-payment of the actual transporter justified the first respondent's claim for unjust enrichment, especially given the urgent need to protect his reputation with the Ministry of Defence.

On appeal, the appellants stood by the submissions they had made in the court a quo. They contended that they were not principal actors in the agreement but merely intermediaries, asserting that the second appellant's role was limited to introducing the parties and acting as a facilitating conciliator. To support this, they pointed to the record where the first respondent admitted to being introduced to the contractor and noted that all payments were made directly to the South African-based second respondent rather than the appellants, which they argued was inconsistent with a subcontracting arrangement. Furthermore, they submitted that the first respondent's receipt of an acknowledgment of debt from the second respondent regarding the undelivered machinery effectively codified a direct contractual relationship between those two parties. Consequently, the appellants maintained that the court *a quo* erred in finding them liable, as the cause of action lay solely with the second respondent, and the appellants were never privy to the acknowledgment of debt that finalized the dispute.

The first respondent submitted that the appellants played a primary role in the transaction rather than a peripheral one, as evidenced by their direct engagement in pre-contractual negotiations, the issuance of payment instructions, and their continued communication throughout the performance of the contract. He argued that these "external manifestations" including emails, WhatsApp messages, and the appellants' reference to the transporter as "our guy"—clearly conveyed that he was dealing with the appellants as principals. The first respondent further contended that the second appellant's admissions under cross-examination regarding ongoing discussions and payment instructions aligned with the doctrine of "apparent authority" as characterized by Dr. I. Maja in *The Law of Contract in Zimbabwe*, which prevents a party from evading liability after holding themselves out as a contracting principal. Consequently, he submitted that the Magistrate correctly applied the principles in *Blew* v *Snoxwell 1931 TPD* and *Total South Africa (Pty) Limited* v *Bekker NO 1992 (1) SA 617*, asserting that his reasonable belief in the identity of the contracting parties created a binding consensus that cannot be retrospectively nullified by the appellants' claims of third-party involvement.

After hearing the submissions, the court is convinced that the appellants' attempt to recharacterize their role as mere "facilitating conciliators" appears to be a strategic re-labelling that contradicts the functional reality of the original agreement.

As the court *a quo* rightly pointed out by adopting the doctrine of apparent authority, the appellant's actions had all the trappings of being the principals. They referred to the second respondent as their guy. They gave directions pertaining to where the money was to be paid, even though they tried to make it appear as though the first respondent had done so on the directions of the second respondent The truth of the matter is, as it appears, that the appellants indeed were the principals in the agreement as per the magistrates' court's own findings, according to the doctrine of apparent authority supported by the evidence. The appellants said if this court was to find that they were liable to the first respondent then the first respondent ought to have at the very least sued the appellants jointly and severally together with the second respondent The court takes a different position. Whilst the acknowledgment is not disputed, the same is a completely different matter, separate from the agreement the first respondent entered into with the appellants. The second respondent was not privy to the contract between the parties, which was the cause of action in the court *a quo*. Consequently, since the first respondent never explicitly absolved the appellants of their contractual obligations, the introduction of the second respondent and the subsequent acknowledgment of debt do not constitute a novation, but rather a collateral attempt by the first respondent to mitigate the losses caused by the appellants' failure to deliver. The appellants remained the principal parties responsible for ensuring the vehicles were cleared of third-party encumbrances; by allowing the first respondent to pay "extra monies" to third parties to secure the property, the appellants were unjustly enriched by the discharge of a liability that was legally theirs to settle. Therefore, the court *a quo*'s finding of liability remains sound, as a contractor cannot unilaterally outsource their legal accountability to a third party simply because they facilitated an introduction after the consideration had already been paid.

Regarding the issue of costs, the appellants submitted that it was not in the interests of justice that they be chastised for failing to tender compensation for loss arising from liability already acknowledged by a third party; nor for their perceived indifference to be visited with costs on a punitive scale.

The first respondent responded by saying, it is settled law that costs are at the discretion of the court. Such discretion may only be interfered with on appeal where it has not been exercised judiciously. More specifically, it is also settled that costs on the legal practitioner and client scale are exceptional and reserved for conduct that offends the litigation process.

The respondent also submitted that the Appellants' silence during key moments of dispute justifies the impression of costs on a punitive scale. When the Respondent raised concerns about the additional USD 5,000.00 charge. The second Appellant remained inert, offering neither intervention nor explanation. When the Respondent faced threats from his own client, the Ministry of Defence over the undelivered machinery, the Appellants remained bystanders. When the Respondent was forced to launch independent investigations and bear the financial brunt of securing delivery, again, the Applicants were nowhere to be found.

The respondent referred to Herbstein and Van Winsen. The Civil Practice of the High Courts of South Africa, 5th ed., vol. 2 at pp. 972-973, wherein it was said:

> "The court is empowered to exercise its discretion and award punitive costs where a litigant's behaviour amounts to stubbornness bordering on vexatiousness, where an application has been brought unnecessarily, where a party abuses court process, where there exists a grave defect in the pleadings, or where proceedings are brought on ill-advised grounds."

In *In re: Alluvial Creek Ltd 1929 (CPD)* 532 at 535, in the context of a punitive costs order, GARDINER J remarked:

> "Now sometimes such an order is given because of something in the conduct of a party which the court considers should be punished, malice, misleading the court, and things like that…"

When a litigant's defense is found to be a sham designed to avoid a clear liability, the court views this as *mala fides* (bad faith).

The court also went on to further state that punitive costs could also be given even if someone "entered into litigation with the most upright purpose and a most firm belief in the justice of their cause, and yet whose proceedings may be regarded as vexatious when they put the other side to unnecessary trouble and expense which the other side ought not to bear".

The court is convinced that the defence by the appellants was mala fides. At every turn, when the first respondent faced an obstacle as per the agreement entered into with the appellants, he contacted the appellants, who remained silent; the first respondent had to incur additional

costs to effect delivery when he had satisfied his end of the bargain. When the first respondent approached the court to retrieve money he had lost, the appellants then jumped to respond and concocted an unbelievable story to frustrate the first respondent further than they had already done in their dealings with him. For the reasons aforementioned, the court finds that the court *a quo's* decision to award punitive costs was judicious.

Consequently, the order makes the following order

1. The appeal be and is hereby dismissed with costs.

WAMAMBO J……..

MAWADZE DJP……..agrees

Hamunakwadi & Nyandoro Law Chambers, the appellants' legal practitioners
Lawman Law Chambers, the first respondent's legal practitioners